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Investor Presentation | Asia Pacific

AI Capex And Economic Outlook After Politburo Meeting

Related report:

[Politburo: Faster Fiscal Rollout, Not a Pivot Yet \(30 Jul 2026\)](#)

MORGAN STANLEY ASIA LIMITED+

Robin Xing

Chief China Economist

Robin.Xing@morganstanley.com

+852 2848-6511

Jenny Zheng, CFA

Economist

Jenny.L.Zheng@morganstanley.com

+852 3963-4015



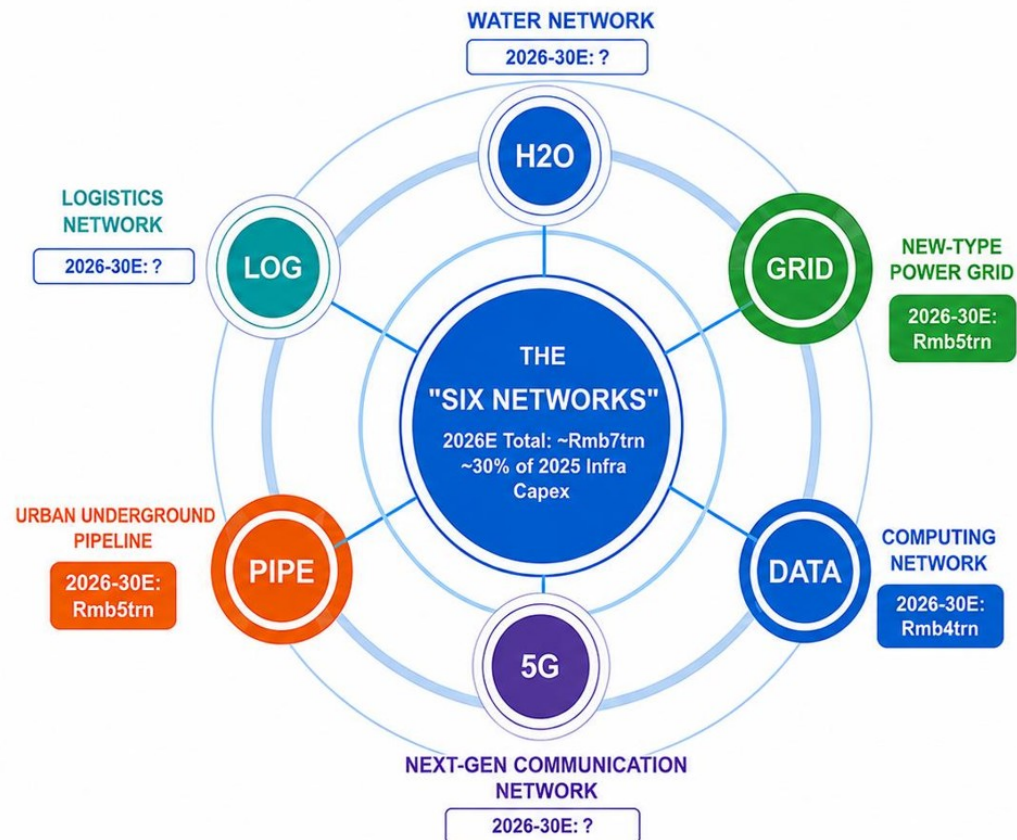
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Politburo Takeaways

Politburo Meeting		
	Apr-26	Jul-26
What's New		
Economic Assessment	Economy off to a strong start, key indicators better than expected	More cautious tone: remain highly vigilant to economic challenges
Policy Stance	Targeted and effective policy implementation	Policy finetune, not pivot • Faster rollout of existing policies • Prepare practical and effective incremental measures • Enhance fiscal-monetary coordination
What's Unchanged		
Policy Priorities	✓ Continued supply-centric framework: -AI+ and other emerging frontiers -Six networks Housing and consumption: -Stabilise housing market -Modest social welfare support Continued local debt resolution and anti-involution	

Source: Government website, Morgan Stanley Research

Policy to Remain Supply-Centric



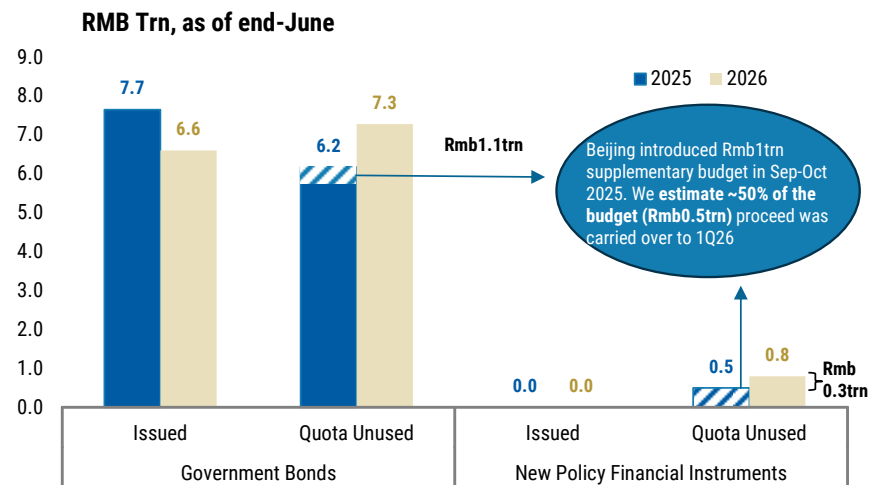
What's Next?

-  **1** Accelerate the issuance and deployment of new policy-based financial tools and LGSB.
-  **2** Increase the share of government investment in livelihood projects.
-  **3** Advance the implementation of the 109 major projects outlined in the 15th Five-Year Plan.

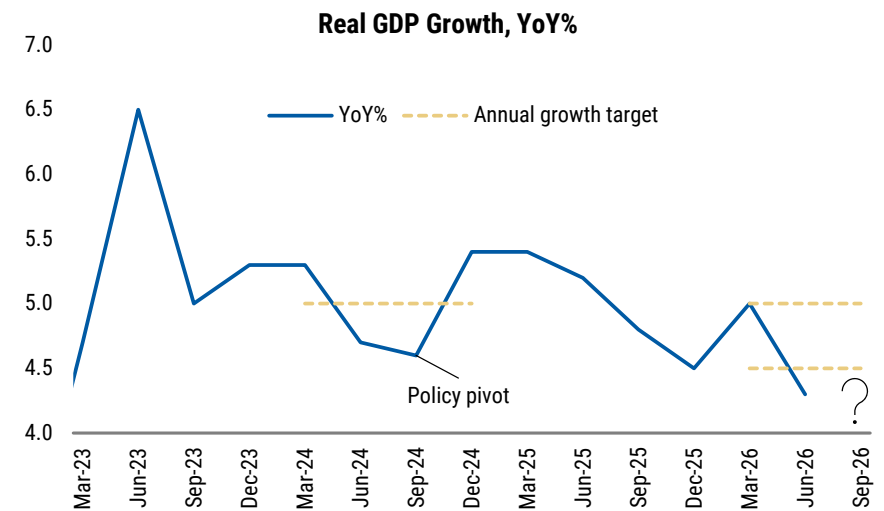
Source: Government website, Morgan Stanley Research

Sept.-Oct. Is a Potential Catalyst Window

Beijing is sitting on ~Rmb2trn of unused in-budget fiscal and quasi-fiscal impulse for 2H



Should Jul-Aug activities fail to firm up, the likelihood of additional easing in Sep-Oct would increase



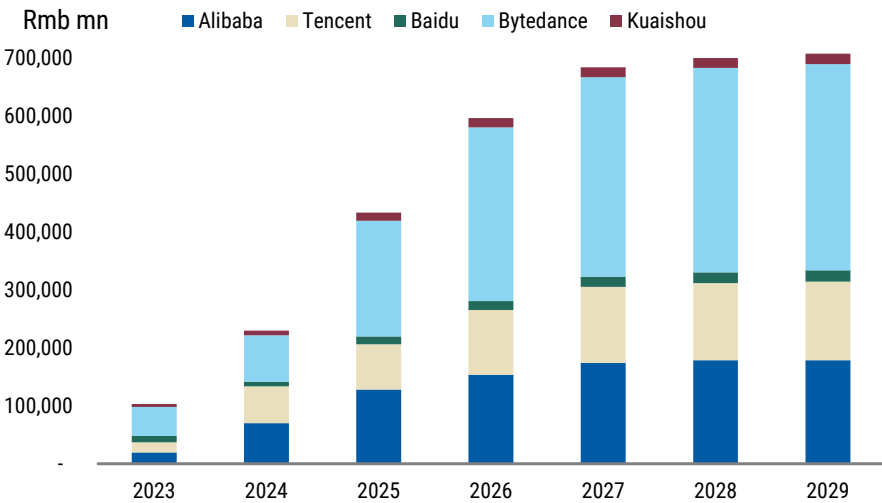
Policy focus: Stronger budget execution :

- Faster government bond issuance (Rmb7.5trn quota left for 2H26 vs. Rmb5.7trn in 2H25)
- Use of new policy-based financial instruments (Rmb800bn in 2026 vs. Rmb500bn in 2025)
- Modestly broader interest rate subsidies (within the Rmb100bn budgeted amount)

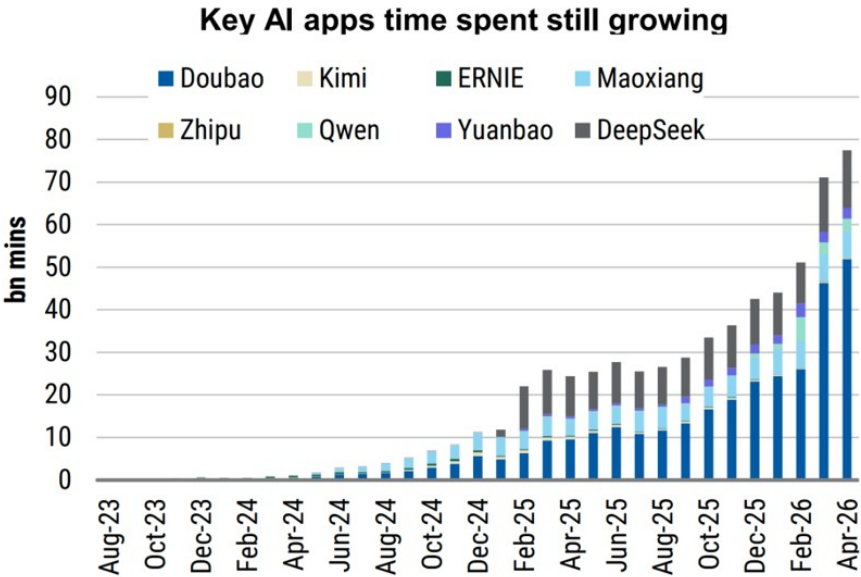
Source: CEIC, Morgan Stanley Research

AI Capex Supercycle Remains in Full Swing

Hyperscalers to step up AI-related capex significantly in the coming two years



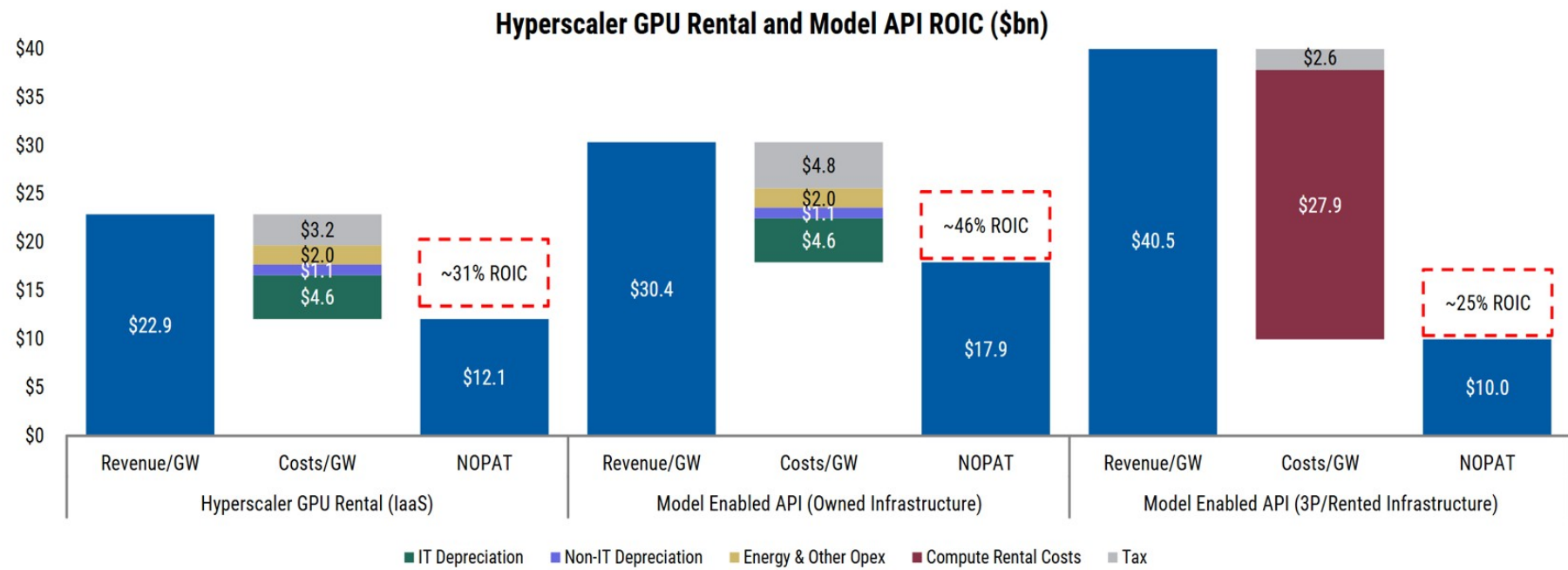
Inference demand continues to grow



Source: Company data, QuestMobile, Morgan Stanley Research estimates

The Paths to 25-50% GenAI ROIC

We see attractive incremental unit economics and ROIC (25%+) on the three main business models set to emerge through the age of AI inference

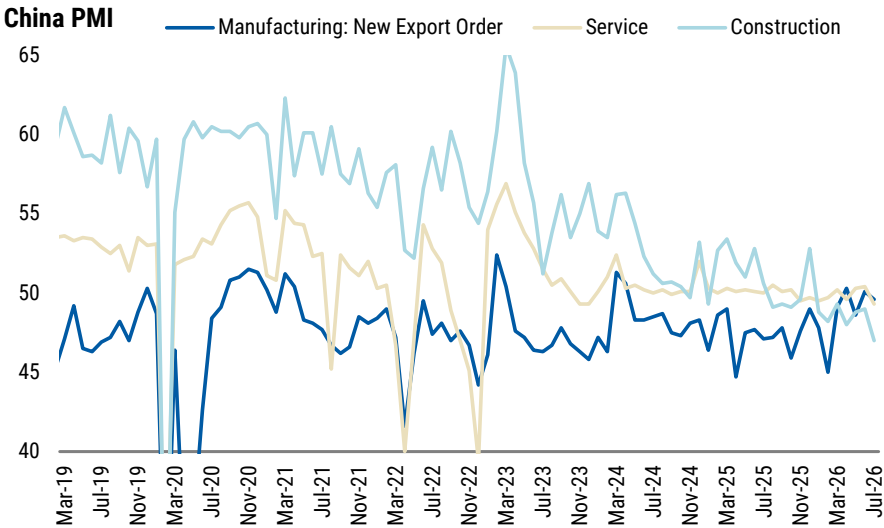
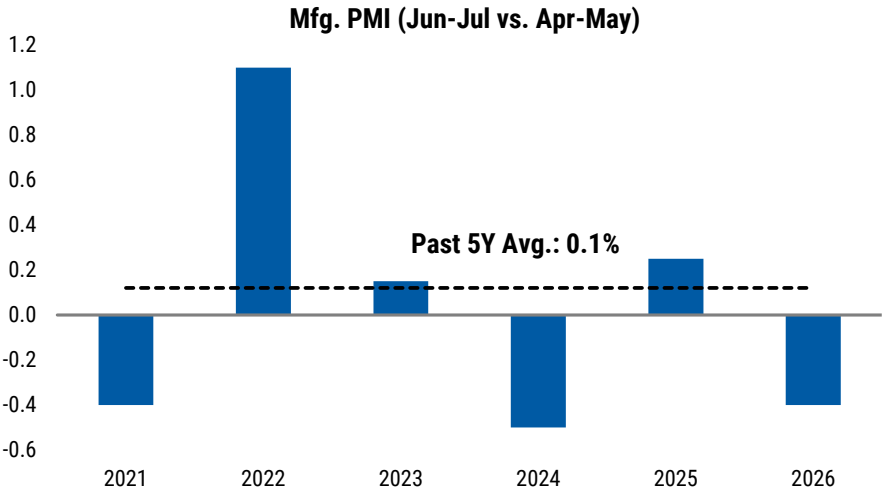


Source: Company data, Morgan Stanley Research Estimates. For more details, pls see [The Paths to 25-50% GenAI ROIC \(27 Jul 2026\)](#)

July PMIs: Domestic Demand Weakness Extends into Q3

Jun-Jul combined PMI slowdown exceeded seasonal norms

Two-speed economy persists: Continued export resilience, softening domestic demand

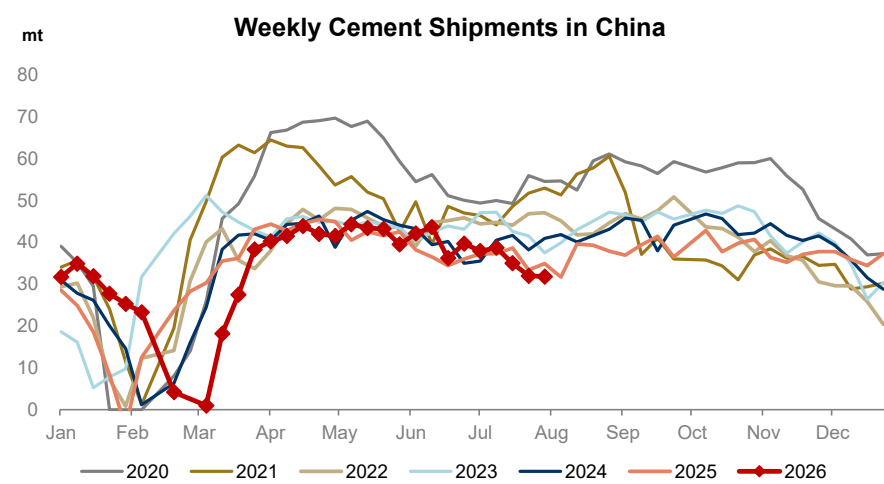
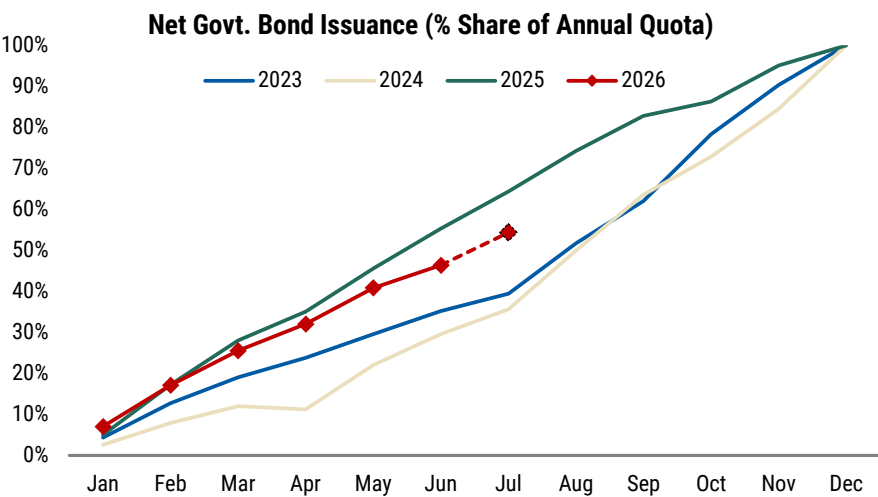


Source: CEIC, Morgan Stanley Research

Fiscal Rollout Has Yet to Accelerate in July

No sign of meaningful acceleration in govt. bond issuance in July...

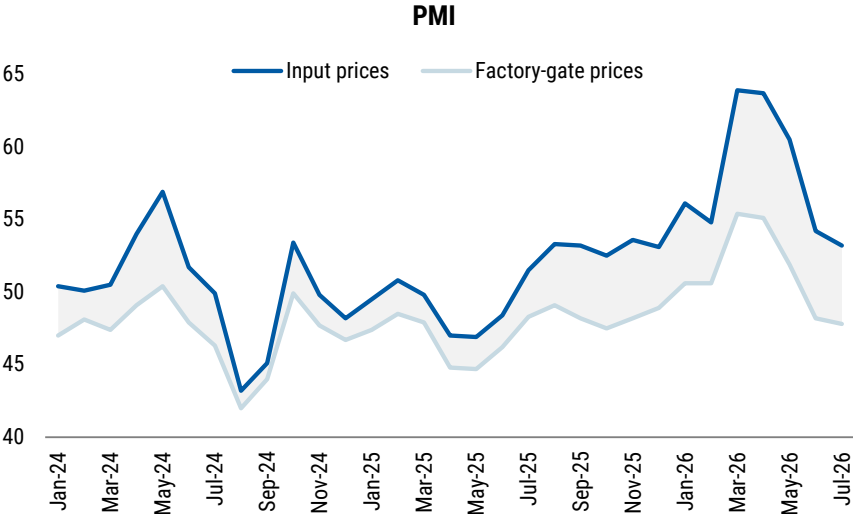
...echoed by the subdued cement shipment



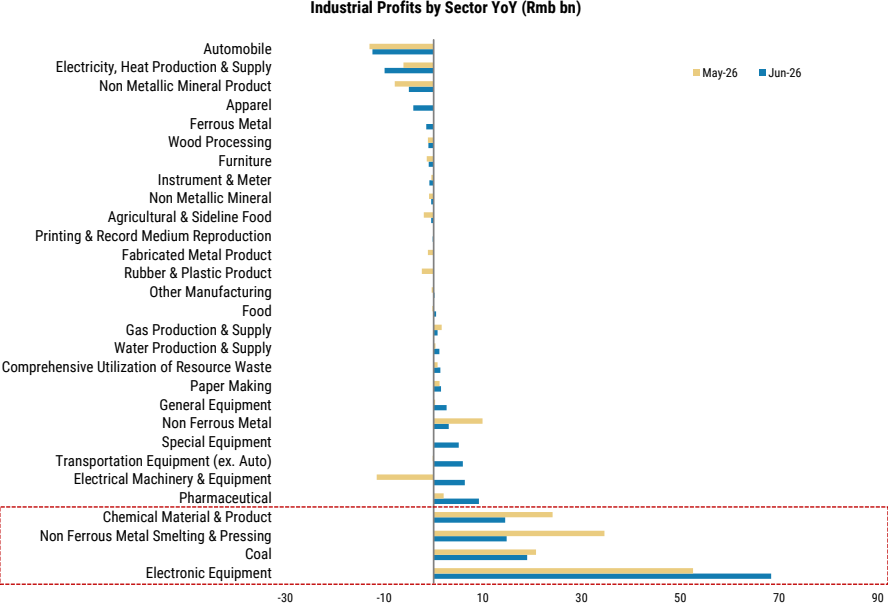
Source: CEIC, Morgan Stanley Research

Reflation Remains Narrow

Input-output price gap signals weak price pass-through



Improvement in industrial profits are still concentrated in upstream and selective downstream sectors



Source: CEIC, Morgan Stanley Research

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